11. INCOME TAXES

The (benefit) provision for income taxes is comprised of:

	Fiscal Year		
	2008	2007	2006
Current federal (benefit) taxes	$(827,000)	$ 650,000	$ 200,000
Current state taxes	9,000	156,000	219,000
Deferred federal taxes	77,000	570,000	1,282,000
Deferred state (benefit) taxes	(189,000)	167,000	320,000
	$(930,000)	$1,543,000	$2,021,000

The (benefit) provision for income taxes reconciles to the amounts computed by applying the statutory federal tax rate to our (loss) income before income taxes. The sources and tax effects of the differences for fiscal years 2008, 2007 and 2006 are as follows:

	2008	2007	2006
Computed "expected" federal income tax (benefit) expense	$(862,000)	$1,253,000	$ 2,972,000
Permanent difference—federal income tax effect of non-taxable life insurance proceeds	—	—	(765,000)
Other permanent differences	74,000	81,000	87,000
Current and deferred state income tax (benefit) expense, net of federal benefit	(119,000)	217,000	145,000
Tax effect of earnings not subject to federal income tax due to S Corporation election	—	—	(1,931,000)
Federal and state tax effect of S to C Corporation conversion	—	—	1,543,000
Other	(23,000)	(8,000)	(30,000)
	$(930,000)	$1,543,000	$ 2,021,000

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11. INCOME TAXES (Continued)

The tax effects of temporary differences that give rise to significant portions of the net deferred tax assets and liabilities are as follows:

	January 2, 2009	December 28, 2007	December 29, 2006
Current deferred tax assets:			
Accrued litigation judgment	$ 65,000	$ 127,000	$ 2,517,000
Accounts receivable allowance	250,000	206,000	268,000
Other accrued liabilities	520,000	643,000	882,000
	835,000	976,000	3,667,000
Current deferred tax liabilities:			
Deferred revenue	(3,306,000)	(2,978,000)	(3,242,000)
Other	(48,000)	—	—
Litigation receivable	—	—	(1,687,000)
	(3,354,000)	(2,978,000)	(4,929,000)
Net current deferred tax liability	$(2,519,000)	$(2,002,000)	$(1,262,000)
Deferred tax assets, net of current portion:			
Federal and state net operating losses	$ 628,000	$ —	$ —
Equipment and leasehold improvement depreciation	165,000	162,000	94,000
Stock options	27,000	23,000	—
	820,000	185,000	94,000
Deferred tax liabilities, net of current portion:			
Goodwill amortization	(587,000)	(580,000)	(492,000)
Net deferred tax assets (liability), net of current portion	$ 233,000	$ (395,000)	$ (398,000)

Management believes it is more likely than not that the Company will realize the benefit of the deferred tax assets existing at January 2, 2009. Further, management believes the existing net deductible temporary differences will reverse during periods in which the Company generates net taxable income. There can be no assurance, however, that the Company will generate taxable earnings or any specific level of continuing earnings in the future.

Management also believes that there are no material uncertain tax positions with respect to FIN 48 that would impact the 2008 financial statements.

At January 2, 2009, the Company had federal and state net operating loss carryovers of $1.0 million and $3.2 million, respectively. These carryovers expire in 2029 and 2030 for federal and state income taxes, respectively.